3-Way Invoice Matching is a key control process in procurement applications that ensures the accuracy and validity of vendor invoices before payments are made. It involves matching three critical documents to verify that the purchase is legitimate and correctly processed:

1. Purchase Order (PO)

- This is the document issued by the buyer to the supplier, detailing the items or services ordered, quantities, agreed prices, and terms.

2. Goods Receipt Note (GRN)

- This document confirms the receipt of goods or services by the buyer, specifying quantities received and any discrepancies from the PO.

3. Invoice

- The supplier's bill requesting payment for the delivered goods or services.

Matching Criteria

The process ensures that:

- **The items and quantities** invoiced match the PO and GRN.
- **The prices** on the invoice match those on the PO.
- **The terms** of delivery and payment align with the agreed contract.

Workflow Example

1. **Create a PO:** A buyer creates a PO for 100 units of Item A at $10 each.
2. **Receive Goods:** The supplier delivers 100 units of Item A, and the receiving department generates a GRN.
3. **Invoice Submission:** The supplier submits an invoice for $1,000.
4. **Match:** The system checks:
    - PO: 100 units @ $10 each.
    - GRN: 100 units received.
    - Invoice: $1,000.

If all three match, the payment is approved. If discrepancies exist, the process flags them for review.